Olson 1965 RG Notes

Olson, Mancur. *The Logic of Collective Action: Public Goods and the Theory of Groups.*
Boston: Harvard University Press, 1965.

1 Main Idea

2 General Notes

- Collective action problem exists – rational actors will not support a collective good if they have an incentive to deviate / shirk
- Group size as a key variable (the larger the group, the bigger the free-riding problem)
- Effective groups often instead provide some degree of private services bundled with common resources, such that there is some distinct individual incentive to contribute. Collective ends should be by-products of operations
- Public goods are non-excludable (cannot prohibit access for non-contributors) and non-rival (one person's consumption does not reduce availability)
- A group is "privileged" if it is rational for at least one member to bear the cost alone (still can introduce a coordination problem though)
- Must provide some form of selective incentives where receipt (positive or negative) can be targeted based on contribution

3 Important Specific Factual Claims

- "Exploitation of the great by the small" – those with the largest stakes will usually endure the largest costs (disproportionately) as they are most incentivized to maintain provision

4 Connections

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5 My Critiques

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